

HB 1917 -- PUBLIC WATER SUPPLY DISTRICTS (Casteel)

COMMITTEE OF ORIGIN: Standing Committee on Utilities

This bill specifies an alternative to detachment that allows the owners of 50% or more of the area located within the district that does not receive water service from the district to petition the circuit court to be detached from the district by filing a petition. The petitioners are entitled to the detachment if certain conditions specified in the bill are met.

After receiving the petition, the election authority must issue a certificate stating whether the records of the authority show any voters residing in the area proposed to be detached. The authority must file the certificate with the circuit court and serve a copy of the certificate upon the petitioners. The petitioner is responsible for payment of the costs of the election authority.

Following the receipt of the petition, the Board of Directors of the district must file with the circuit court a verification stating whether any water lines or other facilities owned or operated by the district are located within the area proposed to be detached or whether the district has any outstanding obligation bonds at the time the petition is filed. The petitioner is responsible for payment of the costs of the district for providing the verification.

Within the time frames specified in the bill, the court must set a public hearing date on the proposed detachment. Notice of the filing of the petition must be posted in a newspaper of general circulation in the county where the proceedings are pending. At the public hearing, an interested person may file written objections or comments and may be heard with respect to any issues set out in the notice. The court may hear all protests, objections, comments, and other evidence presented at the hearing.

After the hearing, the court will determine if the petition satisfied the conditions and whether the petitioners are entitled to detachment. If the court determines that the petition is defective, it must dismiss the petition without prejudice. The petition may not be considered defective because the district is a borrower under a federal loan program. The petitioner bears all costs of the proceedings.

If a public water supply district in certain counties has an outstanding debt owed to or guaranteed by the federal government, the board of directors of the district must accept any monetary gift, donation, or bequest made to the district for its use, unless such acceptance would be in violation of current law. The donations will be applied first to the payment of any outstanding debt of the district that is owed to or guaranteed by the federal government, until the debt is satisfied in full. If no debt exists, the board of directors may apply the funds as authorized by current law.

Any person or entity may make full payment for any debt of the district that is owed to or guaranteed by the federal government or its agency. The board of directors must take all necessary actions to facilitate the payments.

The bill only applies to public water supply districts specified in the bill.

This bill is similar to SB 1060 (2026).